Casa de Bolsa Interacciones

PREVIEW

Food

BIMBO A MM

Price
(MXN, as of 20/07/2017)
MXN$45.90

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.905

MARKET CAP. (MXN MN)
215,877

DL VL TRADED (AV. MXN MN)
100.5

TARGET PRICE
P$44 / Var. TP -4.1%

HOLD

*TP Under Review

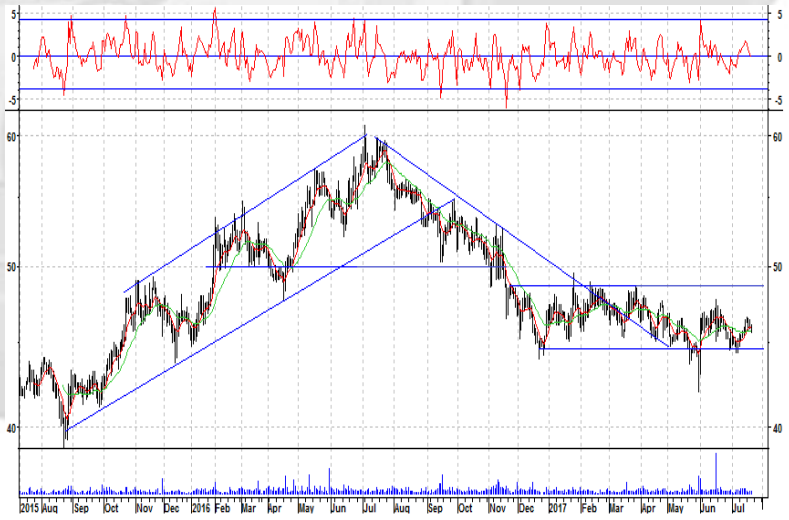
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Q217 Estimates

We expect Bimbo to report weak operating results in Q217 still as a result of the exchange impact on Mexico's operations. We believe that these results could have a negative effect on Bimbo's shares in the short term.

Significant revenue growth - We estimate that Bimbo's sales could increase 12% YoY to MXN$67.8 billion. North American revenues will rise 9% YoY thanks to a certain exchange rate benefit that will help offset the volume reduction as a result of intense competition in this region. Mexico's operations may maintain a decent organic growth, with sales up 9% YoY. In Latin America, volume will continue to expand favorably which will boost this division's revenues by 12% YoY. In Europe, sales will be 90% higher YoY thanks to the acquisition of Donuts Iberia.



Lower margins - Mexico's gross margin may possibly contract 210 bp to 55.0% as a result of higher raw material costs as these are dollarized. This will drag down Bimbo's gross margin to 53.7% in Q217, compared to 54.4% in Q216. For this same reason, Bimbo's EBITDA margin could be 9.1% in Q217, down from 11.3% in Q216. As a consequence, the company's EBITDA will decrease 10% YoY to MXN$6.1 billion.

Bottom line reduction - We expect a 26% YoY decline in Bimbo's net income to MXN$1.4 billion mainly due to the operating weakness.

Multiples	2014	2015	2016	LTM
P/E	54.4x	41.8x	35.9x	40.2x
P/BV	3.8x	3.7x	3.0x	3.3x
EV/EBITDA	13.8x	12.1x	9.9x	9.9x

	Q217e	Q216	Dif (%)
Sales	67,781	60,626	11.8%
Operating Income	3,939	4,861	-19.0%
EBITDA	6,137	6,838	-10.3%
Net Income	1,415	1,906	-25.8%

	2T17e	2T16	Dif (bp)
Operating Mgn. (%)	5.8%	8.0%	-221
EBITDA Mgn. (%)	9.1%	11.3%	-223
Profit Mgn. (%)	2.1%	3.1%	-106

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*